



\$216 billion
cash reserves held by Apple in April 2016,
out of \$1.7 trillion held by US nonfinancial
companies at that time

Gearing ratio

Capital gearing is the balance between a company's capital (its available money or assets) and its funding by short- or long-term loans, expressed as a percentage. A company with relatively low gearing is regarded as being less risky and in a better position to cope with an economic downturn. See pp.40–41

Debt = \$2,000

Expenses

These are the costs a business incurs on a regular basis. They might include staff wages, insurance premiums, utility bills, and other expenses involved in the running of the company.

Assets

These are the items that a company owns, some of which generate income, and many of which may appreciate in value. Businesses often choose between buying assets that will fall in value or leasing equipment.

Expensing vs Capitalizing

When a business incurs a cost or an expense it needs to record it in the company accounts, either by showing the full amount at the time it happens, or by spreading the cost over a number of years. See pp.30–31

Depreciation

This is a measure of how much the value of an asset falls over time, often due to use or "wear and tear." Companies can record the reduction in the value of assets such as vehicles, machinery, or other equipment as depreciation in their accounts. This will then reduce the company's tax liability and reduce their taxable profit. See pp.32–33

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